



NEW WORLD ORDER

Four disruptions—urbanisation, technological change, demographic shifts, and global connectivity—are converging to create a new world order

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THE BRITISH Industrial Revolution of the late 18th and early 19th centuries radically transformed Britain and its role in the world. Today, the world is undergoing an even more profound transformation, driven by four fundamental disruptions. Each of these changes is larger than anything we've ever seen individually, and we are seeing all four simultaneously.

Compared to the Industrial Revolution, these disruptions are occurring 10 times faster, at 300 times the scale, and with an impact approximately 3,000 times greater. While we recognise these disruptions, their full magnitude and second- and third-order effects remain underappreciated as these forces amplify one another, interacting and intensifying as they interact.

Together, they are reshaping the global economy in ways that, if managed correctly, could play to India's strengths, elevating it to the third-largest economy in the world, with Indian companies becoming global leaders.

Let's review these four disruptions, identified in our research at the McKinsey Global Institute:

1. The Age of Urbanisation

The first disruption is the shifting of economic power to emerging markets like China and India and to the cities within them. These countries are undergoing simultaneous

industrial and urban revolutions, dramatically moving the centre of global economic activity eastward and southward. As recently as 2000, 95% of the Fortune Global 500—companies like Airbus, IBM, Nestlé, Shell, and Coca-Cola—were headquartered in developed economies. Today, China is vying with the US for the highest number of large companies. Despite its role in global urbanisation, India, with only around 10 Fortune Global 500 companies, lags behind its position as a Top 5 economy.

2. Accelerating Technological Change

The second disruptive force is the rapid pace of technological change. While technology—whether the printing press, steam engine, or the internet—has always reshaped economies, the scale and speed of change today are unprecedented. For example, it took 38 years for radio to reach 50 million listeners. In contrast, Facebook gained 6 million users in its first year and 600 million in just five years. China's WeChat now boasts 1.3 billion users—more than the populations of North America and Europe combined. The proliferation of data, tools like AI, and technology-driven business models such as e-commerce platforms and ride-sharing apps are amplifying this transformation. India's strong technology education